

Employing in Luxembourg

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Luxembourg Labour Code
- **Monthly payroll** — salary payments in EUR, itemised payslips, indexed to the cost-of-living scale
- **Tax withholding** — progressive income tax withheld monthly, tax-class dependent
- **CCSS** — the Centre Commun de la Sécurité Sociale contribution stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Luxembourg automatically indexes wages to the cost of living — a new 2.5% indexation tranche took effect in June 2026, increasing gross and net pay for all employees simultaneously.

Item	Detail	Legal Basis
Automatic wage indexation	Salaries rise automatically when the cost-of-living index crosses a threshold (latest tranche +2.5%, June 2026)	Labour Code
Probation period	Between 2 weeks and 12 months, depending on qualification level, set in the contract	Labour Code
Standard hours	8 hrs/day, 40 hrs/week	Labour Code

Minimum Wage & Social Security (2026)

Measure	Rate	Notes
Minimum wage (unskilled, 18+)	€2,570.93/month	Among the highest minimum wages in the EU; skilled worker rate is ~20% higher
Employer social security contribution	~14.24% of gross salary	Covers pension (8%), health (~3.05%), long-term care (1.4%), accident insurance and mutual insurance fund contributions
Employee social security contribution	~12.55% of gross salary	Plus a 1.4% flat dependency contribution on income above a monthly allowance

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	26 working days/year	Employer	Labour Code minimum; among the more generous in the EU
Sick Pay	Employer pays until the end of the month in which the 77th day of illness falls (within a reference period), national health fund thereafter	Employer + CNS (national health fund)	Labour Code / Social Security Code
Maternity Leave	20 weeks (8 before + 12 after birth)	CNS (100% of salary, capped)	Job-protected; cannot be worked during the protected period

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer social security (14.24%)	\$427.20	14.24%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,027.20	~134.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Luxembourg's automatic wage indexation means salaries (and this cost structure) can shift mid-year without any negotiation — confirm the current indexation tranche with your HeroForce EOR when budgeting a Luxembourg hire. Employee deductions (withheld separately) include social security (~12.55%), the 1.4% dependency contribution, and progressive income tax.

Income Tax (2026)

Luxembourg applies progressive income tax from 0% to 42% across multiple tax classes (1, 1a, 2), plus a solidarity surcharge (7%-9% of tax due for higher earners). A Social Minimum Wage Tax Credit (CISSM) reduces the burden for employees earning close to the minimum wage.

Termination & Separation

Notice periods scale with length of service: 2 months (under 5 years), 4 months (5–10 years), 6 months (10+ years) for employer-initiated termination. Severance pay applies for employees with 5+ years' service dismissed without gross misconduct, scaling from 1 month's salary (5–10 years) up to 12 months' salary (30+ years).

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
6 April	Easter Monday	National
1 May	Labour Day	National
9 May	Europe Day	National
14 May	Ascension Day	National
25 May	Whit Monday	National
23 June	National Day (Grand Duke's Official Birthday)	National
15 August	Assumption Day	National
1 November	All Saints' Day	National
25–26 December	Christmas Day and St. Stephen's Day	National

Ready to hire in Luxembourg?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Luxembourg employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).